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UNITED STATES BANKRUPTCY COURT
SOUTHERN DISTRICT OF NEW YORK

In re: REVLON, INC., et al., Debtors. AIMCO CLO 10 LTD, et al., Plaintiffs, v. REVLON, INC., et al., Defendants.	Chapter 11 Case No. 22-10760 (DSJ) (Jointly Administered) Adv. Pro. No. 22-01167 (DSJ)

DEBTORS' MEMORANDUM OF LAW IN SUPPORT OF THEIR MOTION TO DISMISS THE ADVERSARY COMPLAINT

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The above-captioned debtors and debtors in possession ("Debtors," "Revlon," or the "Company"), file this memorandum of law in support of their motion to dismiss (the "Motion") the complaint (the "Complaint"). The Debtors respectfully request entry of an order, substantially in the form attached hereto as Exhibit A, dismissing all claims for equitable relief asserted against the Debtors, including any claims seeking specific performance, injunctive relief, or seeking declaratory relief that specified agreements are "void" or should be "rescinded" (the First through Thirteenth Causes of Action, collectively, the "Equitable Relief Claims"), or in the alternative, striking all Equitable Relief Claims, pursuant to Federal Rules of Civil Procedure ("Rules") 12(b)(6), 12(f), and Federal Rule of Bankruptcy Procedure ("Bankruptcy Rules") 7012.

PRELIMINARY STATEMENT

1. Plaintiffs seek unprecedented relief. They allege that financing transactions in 2019 and 2020 breached the 2016 Credit Agreement, and now, after waiting over two years and collecting millions of dollars in interest made possible by the challenged transactions, ask this Court to order, as an equitable remedy, the complete reformation of the Debtors' capital structure by voiding or rescinding key contracts between the Debtors and third parties, and ordering specific performance of the pre-2020 version of the 2016 Credit Agreement. None of this relief can be granted under applicable state law or basic bankruptcy principles.

2. As discussed in the Answer and Counterclaims filed with this Motion, Plaintiffs' underlying claims for breach of contract are baseless. The features of the BrandCo Transaction Plaintiffs now seek to challenge are based on a proposal that Plaintiffs themselves originally made; indeed, they proposed doing the transaction "Without Required Lender Consent." But Plaintiffs reversed course when they saw an opportunity to profit from Revlon's distress as the COVID-19 pandemic took hold. Their challenges to the 2019 financing were never asserted until nearly nine

months after that transaction closed, when they began looking for a pretext to disrupt the BrandCo Transaction. Seeing Revlon's peril as their opportunity, Plaintiffs attempted to drive the Company into bankruptcy during the height of the pandemic so that they could take control of the Company.

3. As against Revlon, this Adversary Proceeding is not about damages flowing from alleged contractual breaches, because the 2016 loans have accelerated, and Plaintiffs' $874 million in loan claims are indisputably due. Indeed, as against the Debtors, Plaintiffs only seek equitable relief—they do not assert any claims for damages. Rather, Plaintiffs seek unprecedented, sweeping equitable relief to "unwind" the Debtors' entire capital structure, on which thousands of parties have relied, and somehow restore it to its pre-2020 state. Plaintiffs offer no legal support for this demand, and make no effort to explain how this would be feasible, fair, or appropriate under the principles of equity. Years after closing the transaction, it is impossible to unscramble the egg. That is why parties who claim "irreparable harm" seek immediate preliminary injunctive relief. Instead of doing so, Plaintiffs only now ask this Court to "void," "rescind," and "enjoin" every component of the BrandCo Transaction and numerous related agreements.

4. The Equitable Relief Claims—the only relief sought from the Debtors—should be dismissed for a host of reasons. To begin, these claims are not Plaintiffs' to bring. Plaintiffs seek equitable relief on behalf of the non-BrandCo Debtors, allege injuries to the non-BrandCo Debtors, and demand that intellectual property be "returned to RCPC." These Equitable Relief Claims plainly do not seek direct relief for Plaintiffs; they seek relief for certain Debtors that allegedly would indirectly benefit Plaintiffs. These are, by definition, derivative claims that belong to the estate. Indeed, this is the same relief that the Debtors (or the Creditors' Committee, by making a standing motion) would seek in a traditional fraudulent transfer action. Claims such as those raised by Plaintiffs that share a "similar object and purpose" as estate claims are, in fact, estate claims. The Final DIP Order required any party seeking to assert estate claims challenging the BrandCo Transaction to file a standing motion by

October 31, 2022, but Plaintiffs ignored this requirement and have now waived their right to do so. Plaintiffs' attempt to void the BrandCo Transaction is especially improper here because the Creditors' Committee fully investigated these transactions, and reached an agreement in principle with the Debtors and the BrandCo Lenders to settle any fraudulent transfer and other claims they might have otherwise sought standing to assert. Plaintiffs' Equitable Relief Claims are a blatant attempt to usurp the Debtors' exclusive right to control and settle those (and other) estate claims, and to convert claims that would, to the extent they were meritorious, benefit all creditors into ones that solely benefit Plaintiffs.

5. The Equitable Relief Claims also fail as a matter of contract and bankruptcy law. Under New York law, the equitable remedies sought here are not permitted because money damages are available and quantifiable. The Bankruptcy Code supercharges this rule, and statutorily mandates that claims for equitable relief be converted into dollar amounts unless a plaintiff can show under state law that monetary relief is not permitted or would be impossible to calculate. Plaintiffs effectively concede that monetary damages are available and calculable—they have filed proofs of claim seeking monetary payments, and allege in the Complaint that the harm they suffered is measurable by the drop in trading prices for their loans. Thus, granting Plaintiffs the relief they seek would require this Court to turn well-settled law on its head.

6. Many other reasons also bar the Equitable Relief Claims: Plaintiffs cannot delay for years in seeking equitable relief in order to "wait and see" how the facts play out; they cannot seek equitable remedies that are not possible or practicable for the Court to order; and they cannot attempt to void contracts to which they are not parties. Their request for a declaration that the BrandCo Transaction and related agreements are void ab initio is particularly outlandish, as that extraordinary remedy applies only where a contract is illegal, usurious, obtained by forgery, or contrary to some substantial public policy. None of that is true here, or even alleged in the Complaint.

7. Revlon also seeks dismissal of Plaintiffs' claim that the 2019 financing transaction breached the 2016 Credit Agreement. That claim alleges that a transfer of intellectual property to a wholly-owned BrandCo subsidiary that was then licensed to RCPC was a "sale-leaseback" that violated the 2016 Credit Agreement. The claim fails because a "license" manifestly is not a "lease." This distinction is evident from the agreement's use of both terms to apply to different concepts, and numerous New York courts have explained the differences between licenses and leases. Finally, the Court should dismiss the litany of tort claims against the Debtors because they either duplicate the contract claims or are otherwise implausible.

8. As one court remarked, allowing self-interested creditors to pursue derivative claims would "produce near anarchy." *In re MortgageAmerica Corp.*, 714 F.2d 1266, 1275–76 (5th Cir. 1983). Here, even worse, the Equitable Relief Claims are completely meritless. Granting this motion will, we submit, expedite and simplify this Adversary Proceeding and prevent Plaintiffs' baseless claims from impeding the restructuring process.

STATEMENT OF FACTS

9. The Debtors provide this statement of facts as context for their Motion, which seeks dismissal of the Equitable Relief Claims on the grounds that Plaintiffs cannot, under the guise of equitable relief, unwind the Debtors' pre-petition capital structure, and because certain of their contract claims can be dismissed based on the plain and unambiguous language of the 2016 Credit Agreement. Plaintiffs' tort and quasi-contract claims should be dismissed because they are duplicative of the contract claims and Plaintiffs otherwise cannot establish a plausible claim for relief as a matter of law. To the extent the recitation of facts here differs from Plaintiffs' grossly misleading account of the 2019 and 2020 financing transactions, those discrepancies are irrelevant to the disposition of this Motion, which seeks relief based solely on the facts alleged in the Complaint and applicable law. A

more complete statement of facts relevant to Plaintiffs' claims is in the Revlon defendants' Answer and Counterclaims, filed today.[1]

A. The 2016 Credit Facility

10. In September 2016, in connection with its acquisition of Elizabeth Arden, RCPC issued $1.8 billion of secured, seven-year term loans. (Compl. ¶ 221.) The 2016 loans and collateral are governed by a Term Credit Agreement among Revlon, Inc., RCPC, the lenders, and Citibank, N.A. as Administrative Agent and Collateral Agent ("Citibank") (the "2016 Credit Agreement") (Ex. A), and a Term Loan Guarantee and Collateral Agreement between RCPC and its guarantor subsidiaries in favor of Citibank (the "2016 Collateral Agreement"). (Ex. B.)

11. The 2016 loans mature in September 2023, although a "springing maturity" made them due on November 16, 2020, if certain unsecured debt then remained outstanding. (Ex. A §§ 1; 2.2.) The 2016 loans were initially secured by liens on substantially all of RCPC's and its guarantor subsidiaries' assets, including accounts, inventory, equipment, real estate, and intellectual and other intangible property. (Ex. B § 3.1; Ex. A § 6.8(e); Ex. C, 40.) Importantly, these liens were granted to Citibank, not to Plaintiffs or other lenders, and the lenders are not parties to the 2016 Collateral Agreement. (Ex. B.) The Lenders "irrevocably authorize[d]" Citibank to release or subordinate the liens. (Ex. A § 9.10.)

12. The 2016 Credit Agreement permitted RCPC and its subsidiaries to incur additional unsecured and secured debt in a broad range of circumstances and amounts. (Ex. A.) As relevant here, RCPC was allowed, by notice to Citibank, to obtain new revolving loan commitments or term loans that would be governed by the 2016 Credit Agreement and 2016 Collateral Agreement. (*Id.* at § 2.25.) RCPC was also permitted to raise new debt secured by the collateral for the 2016 loans or other assets. (Ex. A § 7.3(g).) The agreement also permitted RCPC and its subsidiaries to dispose of or invest

collateral in circumstances that would cause those assets to be no longer pledged to support the 2016 Credit Agreement. (*Id.* §§ 7.5, 7.7, 8.15, 10.15.) The 2016 Credit Agreement allowed for amendments with the consent of "Required Lenders," defined as holders of a majority of outstanding loans and revolving loan commitments. (*Id.* § 10.1.)

13. Section 7.10 of the 2016 Credit Agreement generally prohibits the "leasing" by RCPC or its restricted subsidiaries of "real or personal" property as part of a sale-leaseback transaction. (Ex. A § 7.10.) Section 7.10 permitted such a transaction, however, if the fair market value of the transferred property, "as determined in good faith" by RCPC, is less than $100 million. (Ex. A §§ 7.10, 1.1 (definition of "Fair Market Value").) The prohibition on sale-leaseback transactions in Section 7.10 does not apply to licenses of intellectual property.

14. Section 8.1 of the 2016 Credit Agreement specifies certain "Events of Default." (Ex. A § 8.1.) After an Event of Default and a request by the Required Lenders, Citibank may declare the loans and obligations under the 2016 Credit Agreement to "immediately become due and payable." (*Id.*) Upon a bankruptcy filing of RCPC or its subsidiaries, all obligations under the 2016 Credit Agreement automatically become due and payable, without any notice from the Required Lenders. (*Id.*)

ARGUMENT

15. To survive a Rule 12(b)(6) motion to dismiss, as incorporated by Bankruptcy Rule 7012(b), "a complaint must contain sufficient factual matter, accepted as true, to 'state a claim to relief that is plausible on its face.'" *Ashcroft v. Iqbal*, 556 U.S. 662, 678 (2009) (quoting *Bell Atl. Corp. v. Twombly*, 550 U.S. 544, 570 (2007)). "[N]aked assertions devoid of further factual enhancement" are insufficient. *Iqbal*, 556 U.S. at 678 (citations and internal quotations marks omitted); *see also In re Abreu*, 527 B.R. 570, 578 (Bankr. E.D.N.Y. 2015). A motion to dismiss should be granted where, as

here, a Complaint does not "infer 'more than the mere possibility of misconduct.'" *Nat'l Rifle Ass'n of Am. v. Vullo*, 49 F.4th 700, 713 (2d Cir. 2022) (quoting *Iqbal*, 556 U.S. at 679). As set forth below, the Complaint fails to state valid causes of action in respect of any of Plaintiffs' Equitable Relief Claims or Counts One through Six and Counts Eight through Thirteen and, therefore, such claims should be dismissed, with prejudice.

16. In the alternative, this Court may also strike Plaintiffs' claims for equitable relief because the equitable relief requested is patently unavailable as a matter of law. Rule 12(f) authorizes a court to strike from a pleading "any redundant, immaterial, impertinent, or scandalous matter," and may, on this basis, strike requests for relief that are "not recoverable under law" or are not fashioned as "proper relief." *Onanuga v. Pfizer, Inc.*, 2003 U.S. Dist. LEXIS 20298, at *15 (S.D.N.Y. Nov. 7, 2003) (striking requested relief of specific performance where the proper relief was damages); *see also* Fed. R. Civ. P. 12(f).

I. Plaintiffs Lack Standing To Pursue Equitable Relief Claims Because Such Claims Are Derivative

17. The Equitable Relief Claims are classic derivative claims that seek to "void" the BrandCo Transaction and claw back the BrandCo IP for the benefit of the non-BrandCo Debtors' estates. Attempting to portray themselves as victims, Plaintiffs ignore the central and dispositive issue —undoing the BrandCo Transaction, as they request, would bring assets back to the non-BrandCo Debtors' estates. Plaintiffs are bystanders to their Equitable Relief Claims: rather than seek direct relief for themselves, they demand, on behalf of the non-BrandCo Debtors, return of the BrandCo IP to the non-BrandCo Debtors and an order voiding the non-BrandCo Debtors' obligations under the BrandCo Transaction documents.

Dated: December 5, 2022

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